

Global AI Trend Tracker

EQUITY: TECHNOLOGY

Microsoft's June quarter results read-through Quick Note

Microsoft (MSFT US, Not rated) reported 4QFY26 (Jun-26 quarter) earnings on 30 July 2026 after the US market close, and management hosted an earnings call on the same day, discussing AI infrastructure, AI platform, applications and agents, as well as its outlook for 1QFY27E and FY27E. Management **expects capex of over USD50bn in 1QFY27E, while its actual capex guidance for calendar year 2026 is unchanged but adjusted to USD175bn from an accounting perspective (previously USD190bn)**, due to some DCs shifting from finance lease to operating lease, **and management expects capex to continue to grow in FY27E**. Management also expects **free cash flow to remain positive in FY27E**. We note that AIDC infra stocks have faced a sharp sell-off lately, partially due to concerns about the sustainability of capex growth and free cash flow pressure from hyperscale AI platforms. We think MSFT's outlook for continued capex growth and positive free cash flow in FY27E may help to relieve the concern on AI infra stocks, and **we like global optical transceiver leader Zhongji Innolight (300308 CH, Buy), and major PCB / CCL suppliers such as Shengyi Tech (600183 CH, Buy) and WUS PCB (002463 CH, Buy, covered by Anne Lee)**.

Core business performance

- Microsoft Cloud's revenue surpassed USD59.3bn in 4QFY26, up 27% y-y, reflecting strong demand for Azure and AI applications.
- Commercial bookings increased 18% y-y (excl. the impact from OpenAI [unlisted]), and bookings increased 10% y-y (11% in constant currency) when including Azure commitments from OpenAI. RPO increased 25% y-y when excluding OpenAI, driven by commitments from customers outside of frontier model companies.
- Revenue from productivity and business processes was USD37.8bn, up 14% y-y, driven by M365 Commercial Cloud.
 - M365 Commercial Cloud revenue increased 16% y-y, and M365 Copilot seats surpassed 30mn. Premium offerings, including Copilot, E5, and early traction in E7, drove ARPU growth this quarter.
 - M365 commercial products revenue increased 19% y-y, driven by large, long-duration M365 contracts that resulted in a higher in-period revenue recognition from the Windows Commercial on-premises component.
 - M365 Consumer Cloud revenue increased 24% y-y (22% in constant currency), driven by ARPU growth. M365 consumer subscriptions grew 7% y-y.
 - Dynamics 365 revenue increased 13% y-y (12% in constant currency) with continued moderation in bookings.
- Intelligent Cloud revenue was USD39.3bn and grew 32% y-y (31% in constant currency) in 4QFY26, driven by Azure. **In Azure and other Cloud services, revenue grew 43% y-y**, and customer demand continued to exceed available capacity.
- **Capex was USD41.0bn (including financial leases) in 4QFY26 (+69% y-y or -29% q-q). Roughly two-thirds of capex was for short-lived assets, primarily GPUs and CPUs.**

Capex guidance and 1QFY27E / FY27E outlook

- **Capex guidance for CY26E is unchanged, but the capex from an accounting**

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perspective is down from USD190bn to USD175bn, due to the shift from finance to operating leases.

- **Capex guidance of 1QFY27E is USD50bn+, including the lease reclassification impact from useful life update. Management expects FY27E capex to grow y-y.**
- For 1QFY27E, management expects total revenue of USD89.85-90.95bn, representing growth of 18%-19% y-y.
- **Management expects to see acceleration in commercial cloud revenue growth through this fiscal year.**

AI infrastructure

- Management expects to have Cobalt 200 racks in over 25 data centers around the world.
- MSFT is co-designing some reasoning models with its silicon, and is seeing 40% better performance per watt when running MAI models on Maia 200.

Monetization progress of AI Agent, app and platform

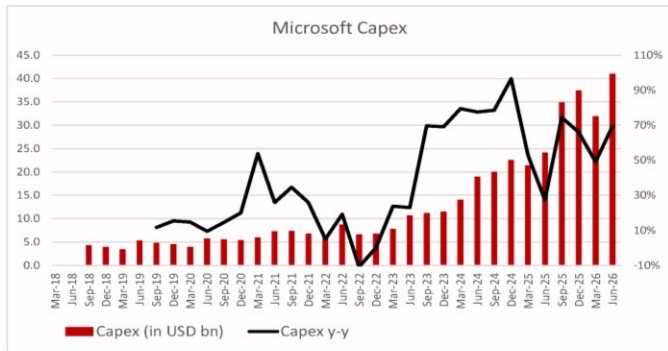
- MSFT now has over **40,000 paid Fabric customers**, up 60%+ y-y and over 17,000 customers now use foundry and Fabric, up 60% y-y.
- MSFT has **100,000 Foundry customers**, and 4QFY26 revenue more than doubled y-y, and the number of foundry customers at 1tn tokens annualized run rate increased 4x y-y.
- The company has over **30mn paid Microsoft 365 Copilot seats** with net seat adds **more than doubling** q-q. Copilot is evolving rapidly from chat to co-work to autopilots.
- The number of customers with more than 50,000 seats increased over 7x y-y in 4QFY26, and the number of enterprise customers deploying Copilot to the majority of their information workers grew nearly 75% q-q.
- **GitHub now has 225 million users, while GitHub Copilot has 50 million users**, and **Copilot revenue accelerated over 60% q-q**. MSFT introduced usage-based billing and have continued to see Business and Enterprise seat growth.

Fig. 1: Microsoft - quarterly earnings summary

MSFT	Quarter		Jun-26		
Revs in USDmn except capex	Revs	y-y	q-q	Coming quarter guidance	
Total revenue	90,007	18%	9%		
Productivity and Business Processes	37,847	14%	8%	USD36.7-37.0bn, +11~12% y-y	
Intelligent Cloud	39,306	32%	13%	USD40.95-41.25bn, +37~38%y-y	
More Personal Computing	12,854	-4%	-3%	USD12.2-12.7bn, -6~-9% y-y	
Capex (in USD bn)	41.0	69%	29%	USD50+bn	

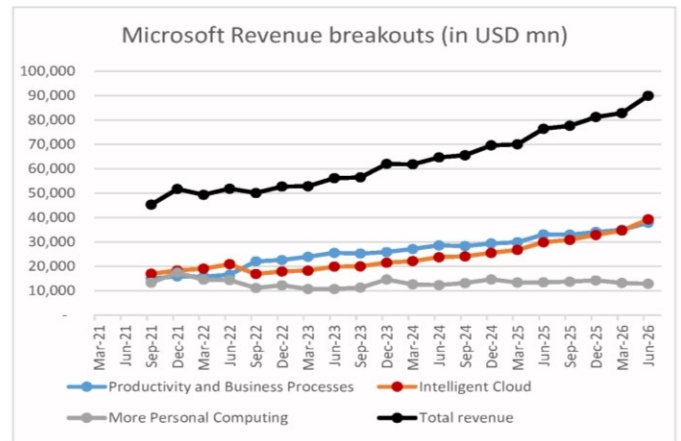
Source: Company data, Nomura research

Fig. 2: Microsoft - Capex growth trend



Source: Company data, Nomura research

Fig. 3: Microsoft's revenue breakdown (USD mn)



Source: Company data, Nomura research

Appendix A-1

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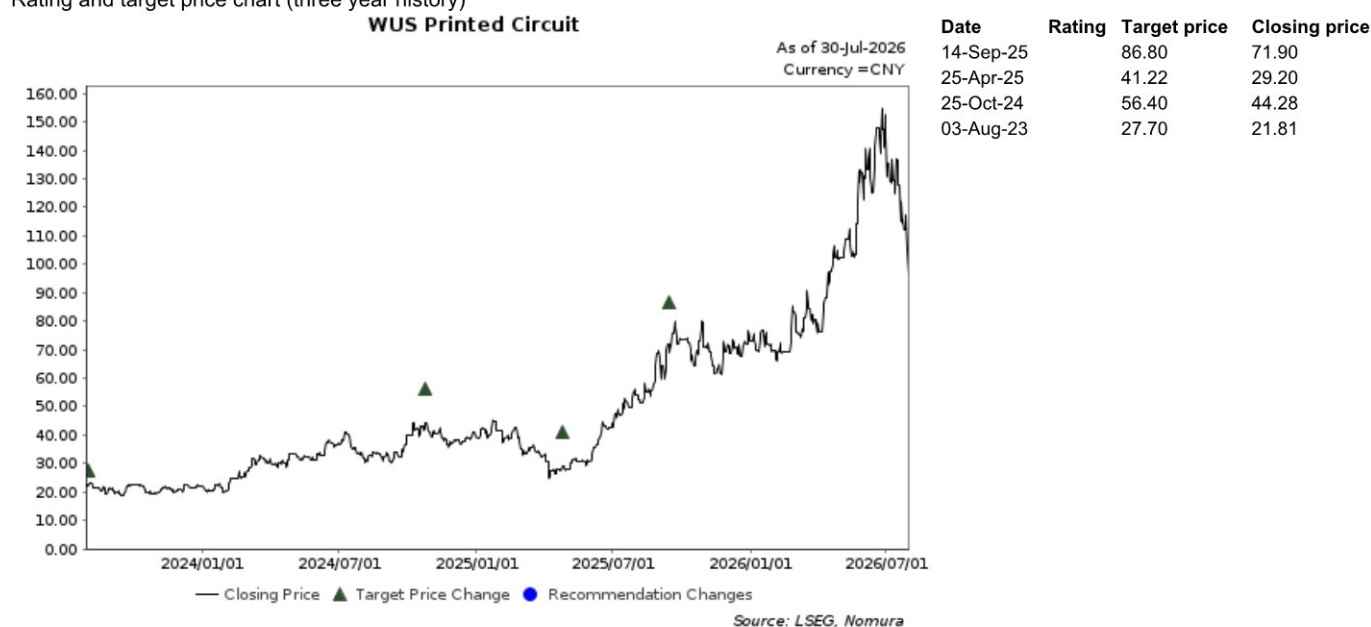
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
WUS Printed Circuit	002463 CH	CNY 96.55	30-Jul-2026	Buy	N/A	
Zhongji InnoLight	300308 CH	CNY 864.00	30-Jul-2026	Buy	N/A	
Shengyi Technology	600183 CH	CNY 100.08	30-Jul-2026	Buy	N/A	

WUS Printed Circuit (002463 CH)

CNY 96.55 (30-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY86.8 is based on 38x 2026F EPS of CNY2.28. Our target P/E multiple of 38x is close to the high-end of its historical 13-40x range. The benchmark index for this stock is CSI 300 Index.

Risks that may impede the achievement of the target price 1) Slower-than-expected PCB growth from 5G basestation PCBs, 2) weaker-than-expected datacenter demand, 3) slower-than-expected network product/platform upgrades from Intel and AMD, 4) worse-than-expected auto demand.

Zhongji InnoLight (300308 CH)

CNY 864.00 (30-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Zhongji InnoLight

Date	Rating	Target price	Closing price
06-Jul-26		1,325.00	1,098.92
16-Apr-26		1,015.00	809.61
09-Jan-26		799.00	583.20
31-Oct-25		612.00	473.01
27-Aug-25		375.00	325.10
16-Jul-25		208.50	170.76
21-Apr-25		125.00	81.19
04-Mar-25		150.00	102.46
06-Nov-24		190.00	142.90
06-Sep-24		180.00	99.42
16-Jul-24		200.00	148.12
10-May-24		149.29	122.29
29-Feb-24		128.57	110.83
29-Jan-24		91.43	74.16
17-Nov-23		100.00	75.42
06-Oct-23	Buy		82.71
06-Oct-23		98.57	82.71

For explanation of ratings refer to the stock rating keys located after chart(s)

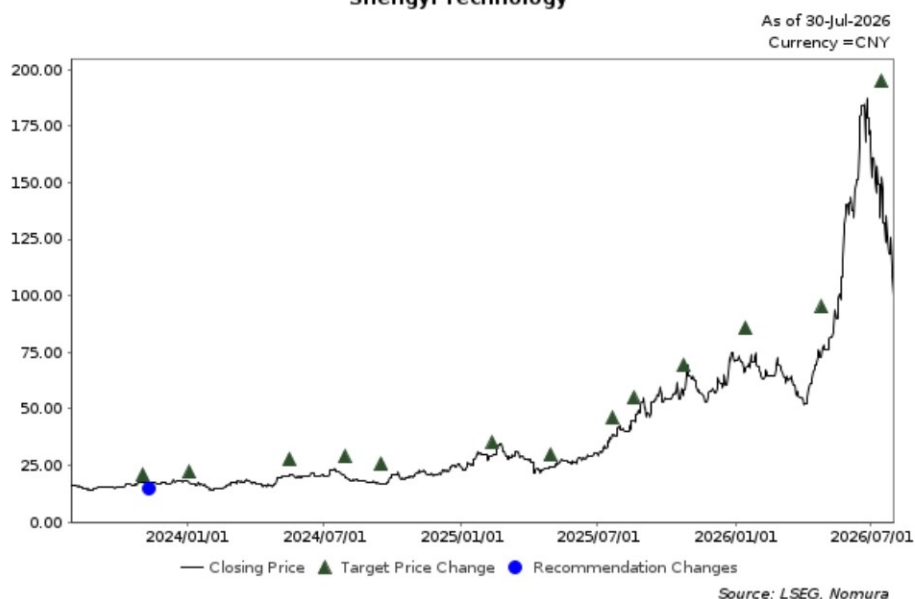
Valuation Methodology Our TP of CNY1,325.00 is based on 20x 2027F EPS of CNY66.06, in line with the WIND China's A share tech / electronic component sector median P/E range. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

Shengyi Technology (600183 CH)

CNY 100.08 (30-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Shengyi Technology

Date	Rating	Target price	Closing price
14-Jul-26		195.00	147.90
26-Apr-26		95.00	72.63
14-Jan-26		86.00	66.84
24-Oct-25		69.50	58.50
18-Aug-25		55.00	44.69
21-Jul-25		46.00	38.41
29-Apr-25		30.00	24.11
11-Feb-25		35.00	29.05
16-Sep-24		26.00	17.08
29-Jul-24		29.00	20.24
16-May-24		28.00	20.52
04-Jan-24		22.00	17.25
03-Nov-23	Buy		17.47
03-Nov-23		21.00	17.47

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY195.00 is based on 43x 2027F EPS of CNY4.51, in line with FY26-28F earnings CAGR of 43%. The benchmark index is CSI 300.

Risks that may impede the achievement of the target price Downside risks include: 1) lower-than-expected PCB demand in downstream sectors such as 5G, servers, auto electronics; and 2) more intensified market competition in the CCL market leading to margin pressures.

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As at 30 June 2026.

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